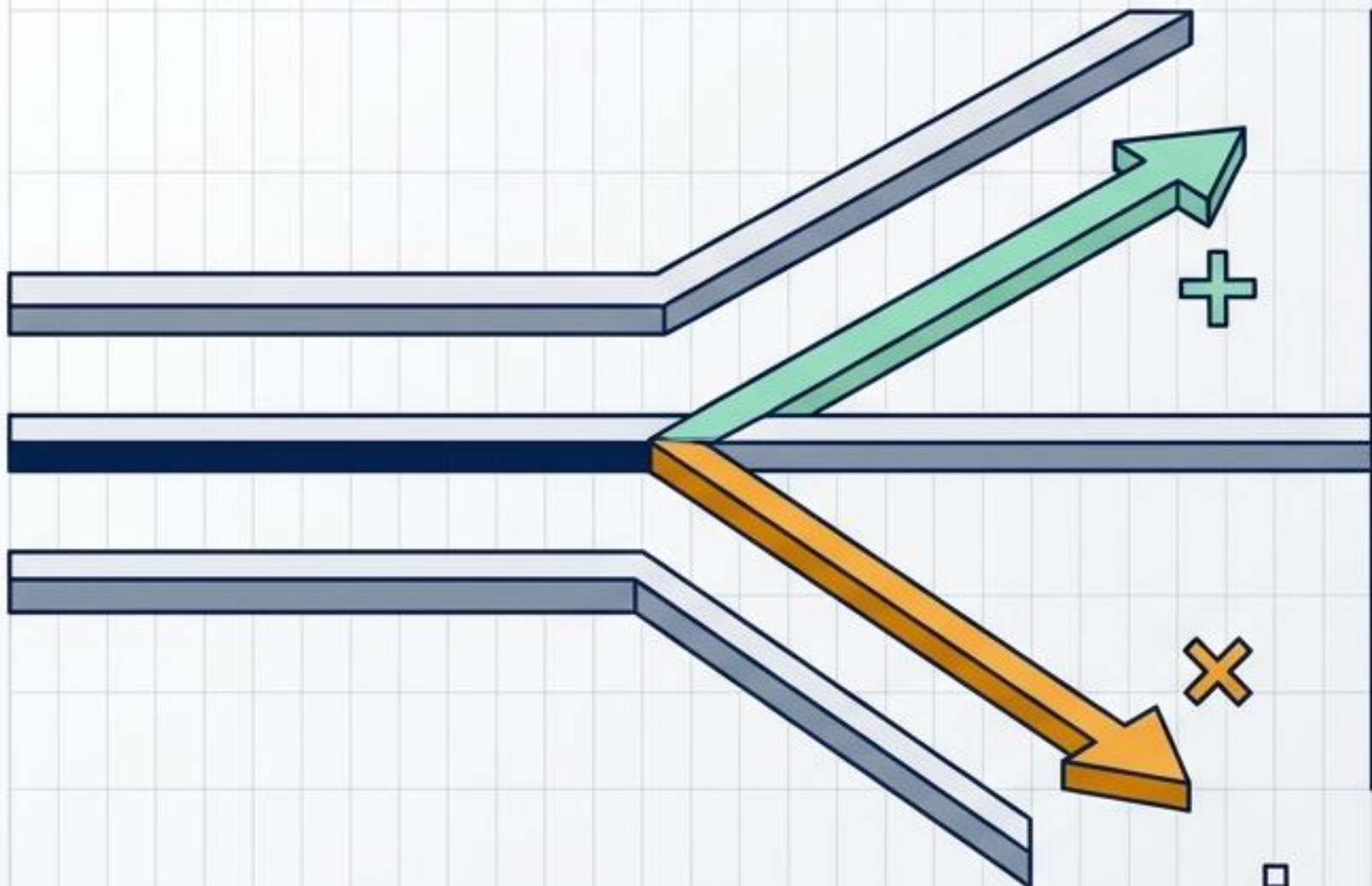


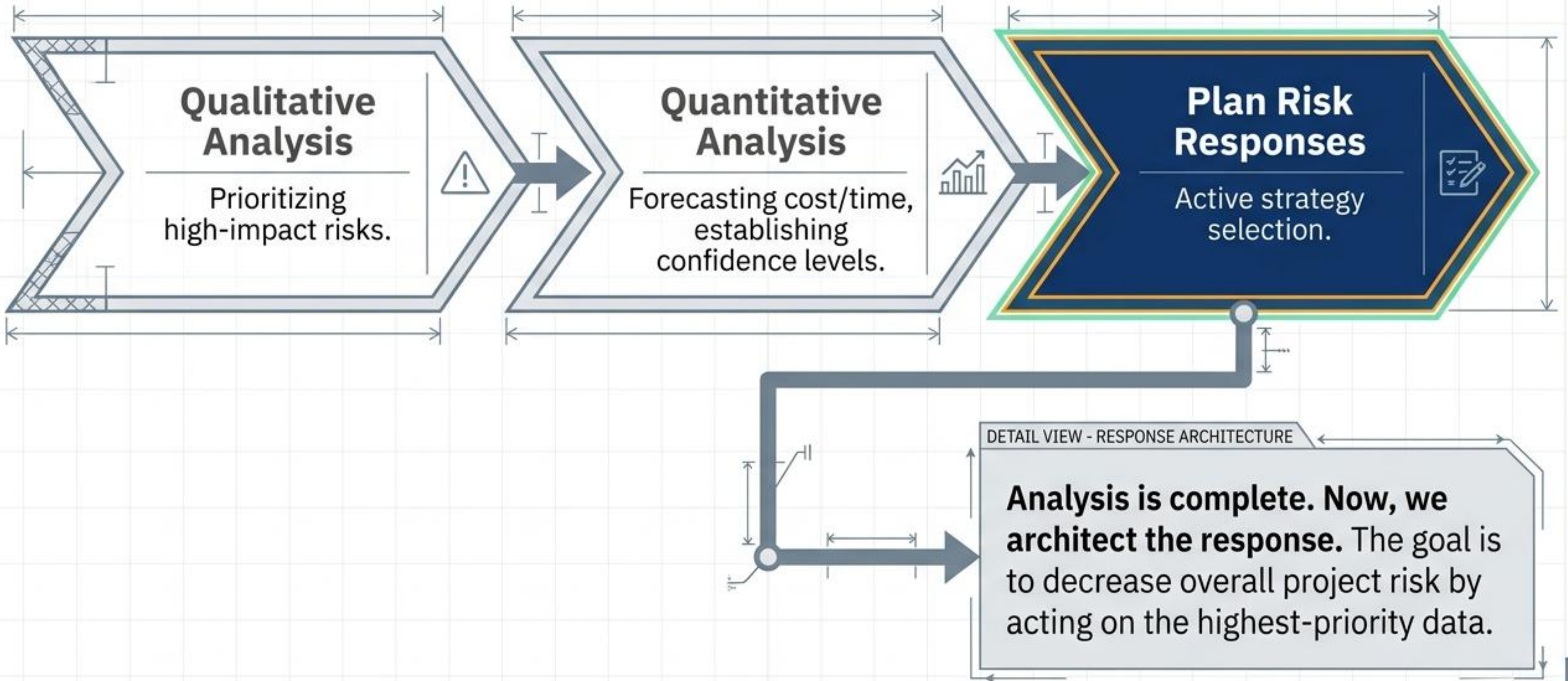


Certyfikat PMP: Risk Mitigation

dr Zbigniew Galar

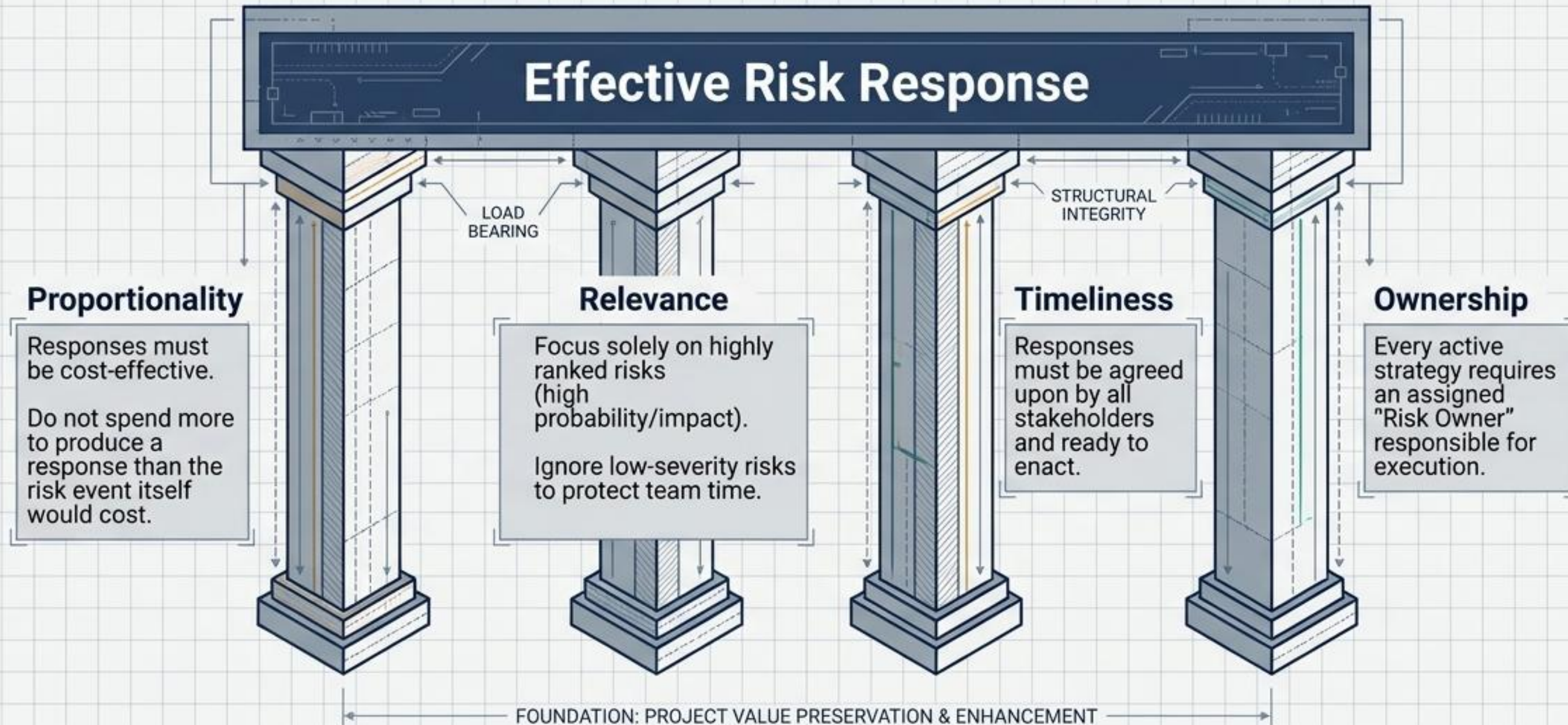
Engineering predictable outcomes
in project management.

The Project Manager's Pivot



Principles of Effective Risk Response

Not all risks demand action. The PMBOK® ground rules.



The Dual Nature of Risk



Negative Risks (Threats)

Goal: Reduce probability of occurrence and/or reduce impact.



Positive Risks (Opportunities)

Goal: Increase probability of occurrence and/or increase impact.

Threat Strategy Matrix

Managing Negative Risks

Avoid

Eradicate the risk by eliminating its cause or changing the project plan.

Example: Rerouting a road trip to bypass known construction; defining scope early to stop scope creep.

Transfer

Shift responsibility and financial liability to a third party.

Example: Purchasing insurance, negotiating fixed-price contracts, securing performance bonds.

Mitigate

Take early action to reduce probability or impact to an acceptable level.

Example: Building prototypes, performing more tests, or "defensive driving".

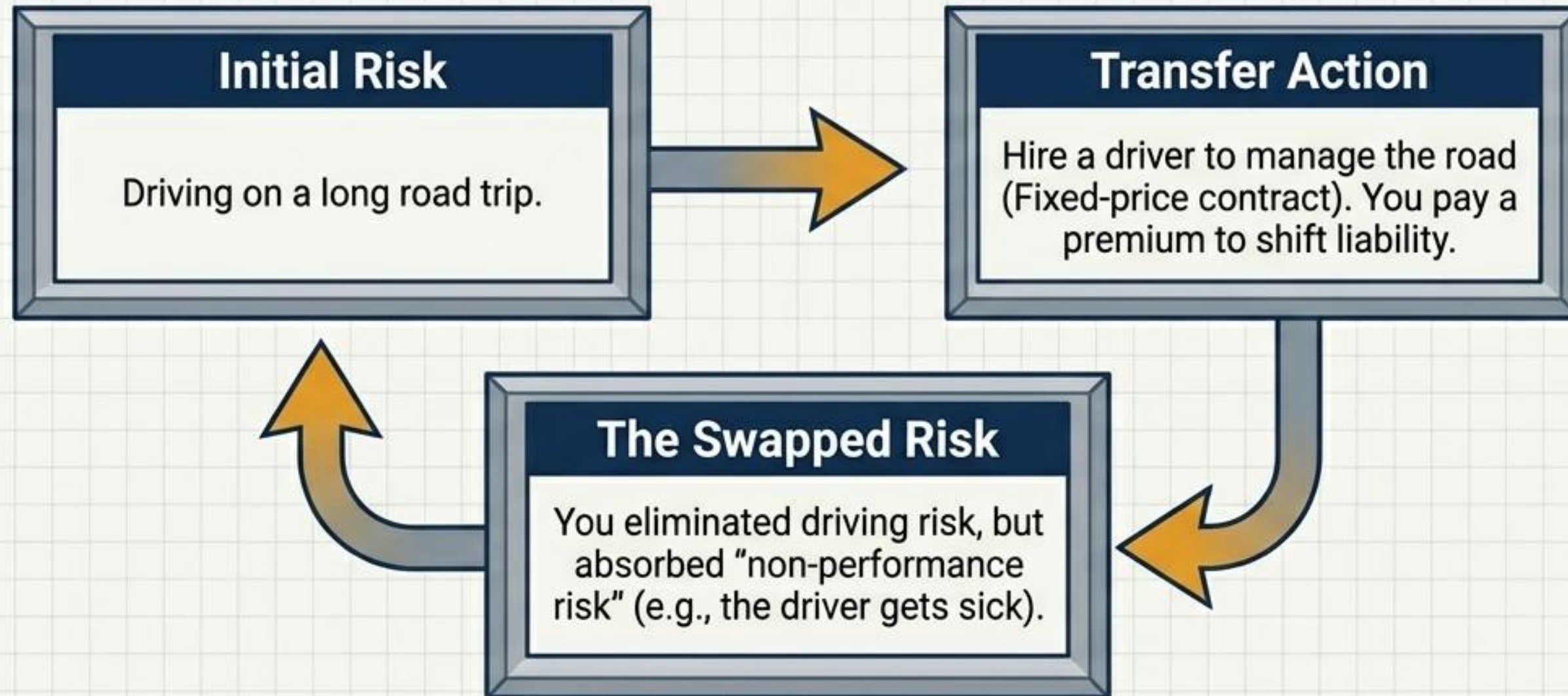
Accept

Acknowledge the risk without taking proactive preventative action.

Example: Proceeding with the original route and accepting a potential delay.

Deep Dive: The Mechanics of Transfer

Transferring risk does not eliminate it—it converts it.



Key Insight: Contracts, warranties, and guarantees do not cure risk; they simply convert operational risk into financial or third-party risk.

Opportunity Strategy Matrix

Engineering Positive Outcomes

Exploit

Ensure 100% realization of the positive event.

Action: Assigning the most qualified resources or top talent to guarantee the opportunity.

Share

Partner with a third-party owner best equipped to capture the value.

Action: Forming a joint venture with a marketing firm to capitalize on an investment.

Enhance

Watch triggers closely to increase the probability and impact.

Action: Identifying root causes of the opportunity to amplify and expand the benefits.

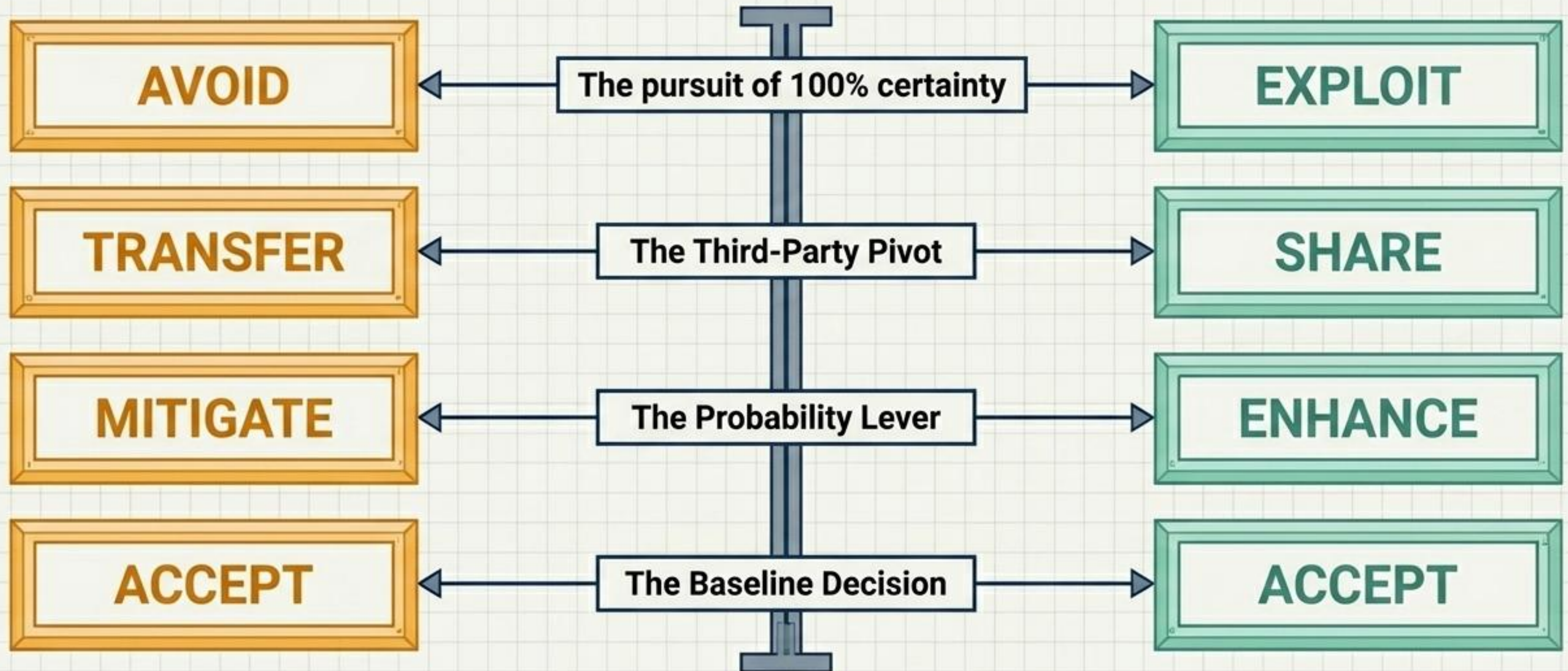
Accept

Welcome the positive outcome, but expend no active effort to pursue it.

Action: Enjoying the benefit if it occurs naturally.

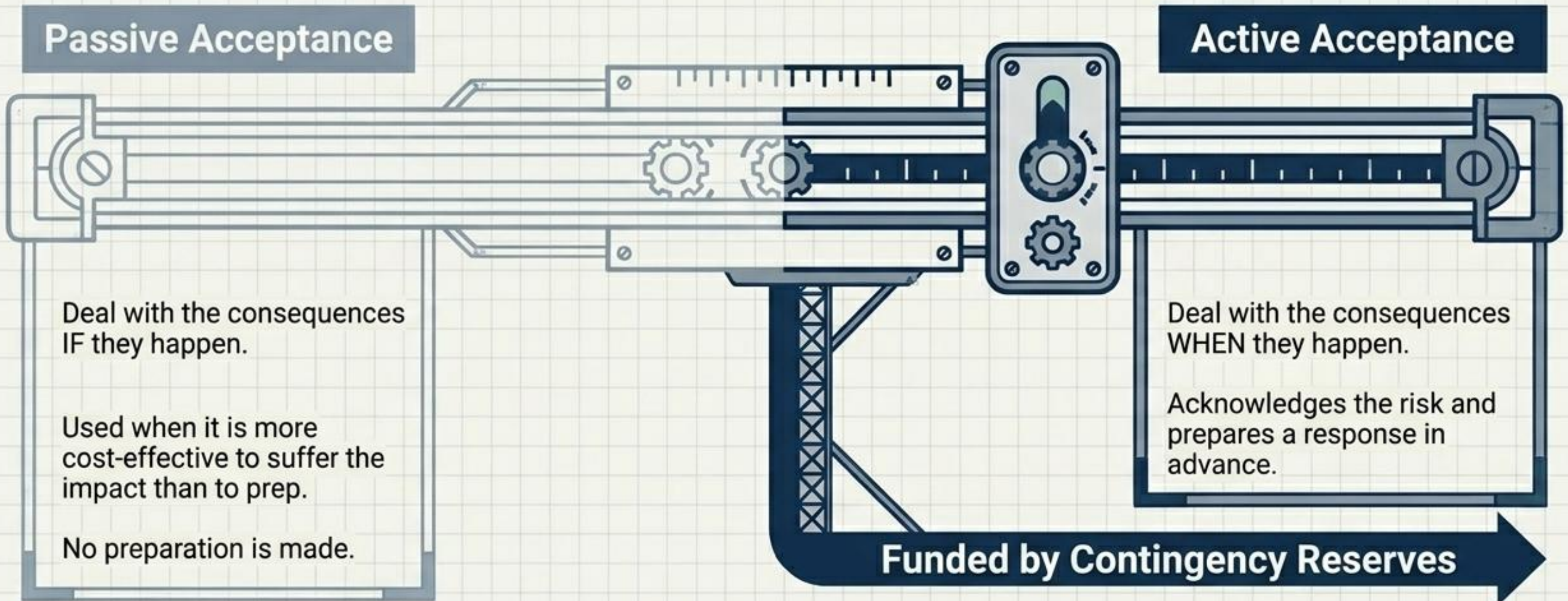
The Strategy Mirror

Threats and opportunities are mathematical reflections of each other.



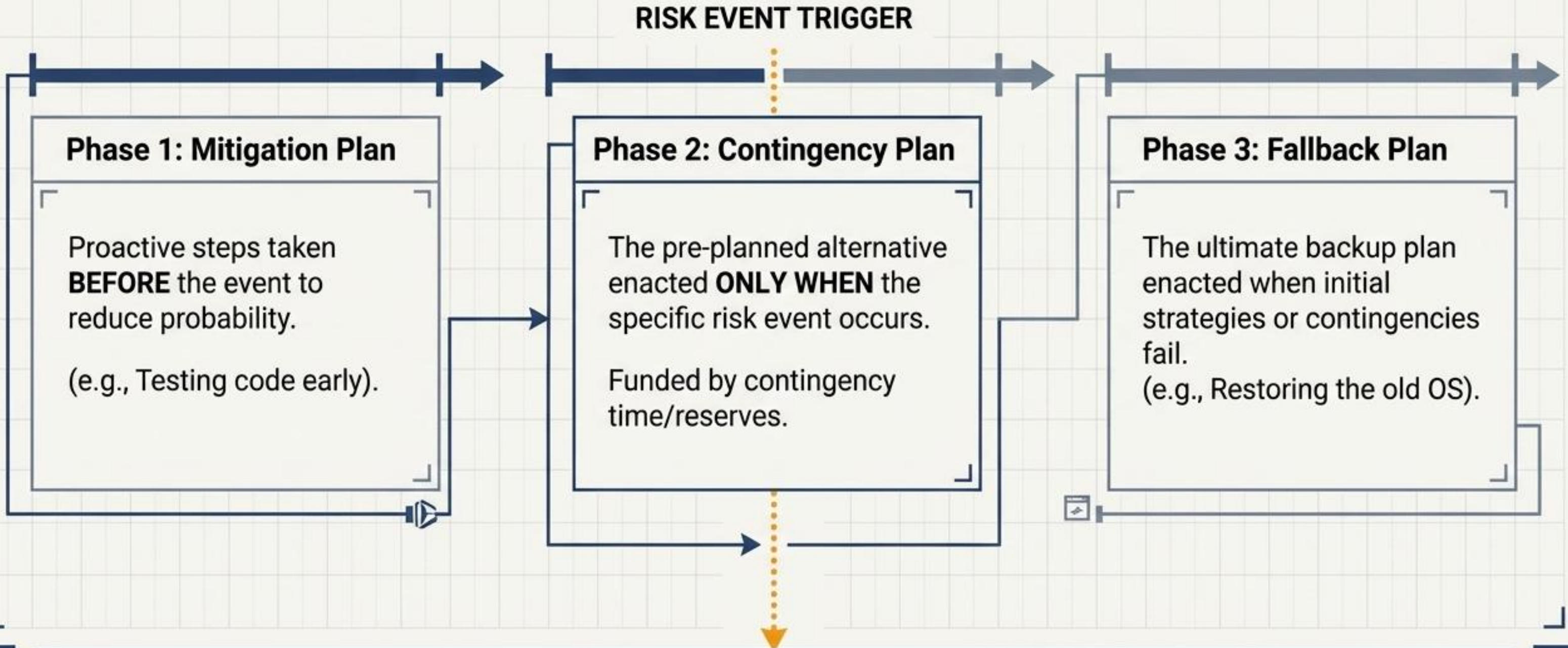
The Acceptance Spectrum

Differentiating the two modes of risk acceptance



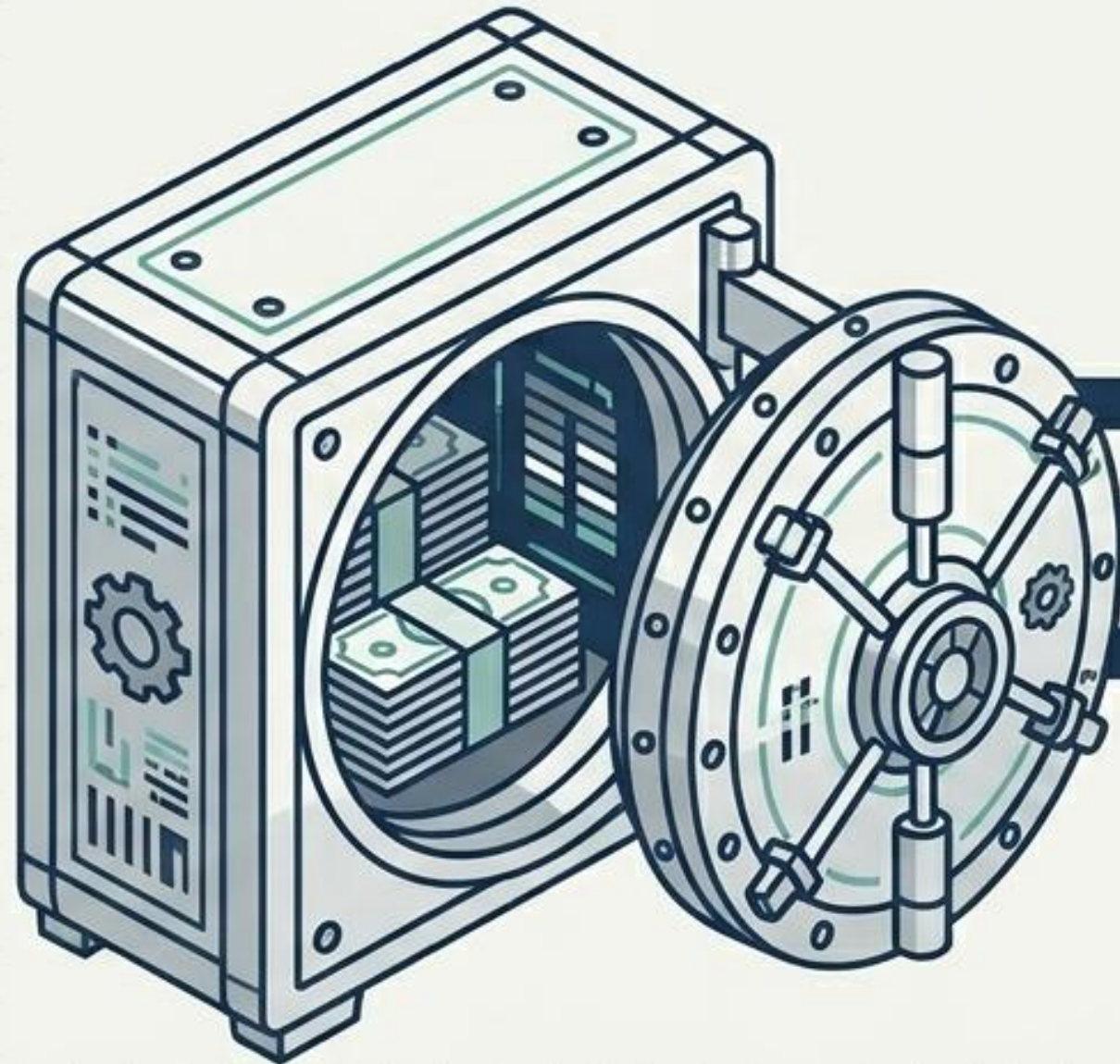
The Defense Timeline

Mitigation vs. Contingency vs. Fallback



Financial Armor: Contingency Reserves

Protecting the budget and schedule baselines.



Source

Determined through Quantitative Analysis tools like Expected Monetary Value (EMV).

Function

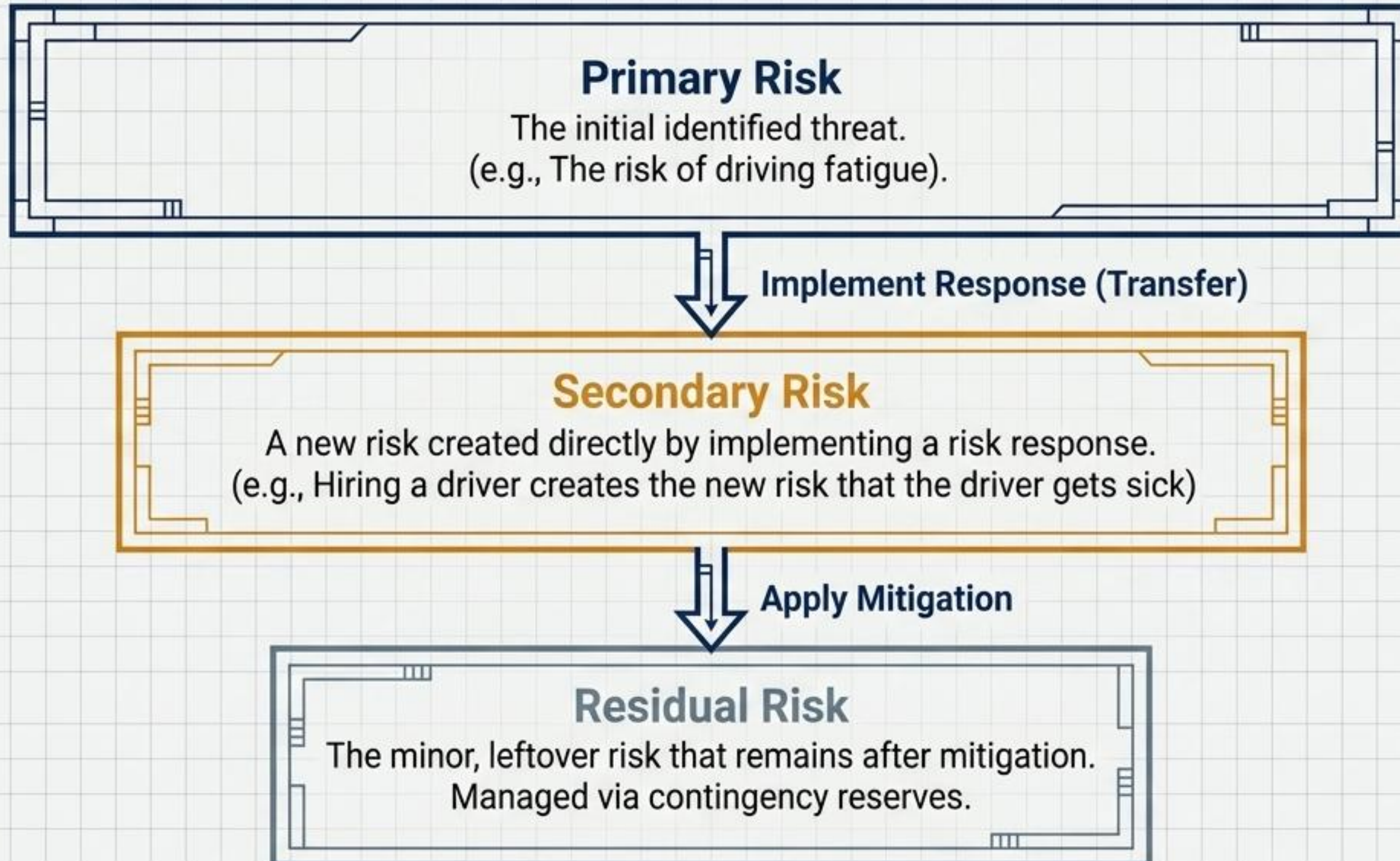
Deployed exclusively for "Known Unknowns" — risks that have been actively accepted and placed on a contingency plan.

Application

Can be allocated as dedicated funding, set-aside resources, or buffered time added to the project schedule.

The Ripple Effect

Planning for the side effects of your own solutions.



Anatomy of the Updated Risk Register

The ultimate output of the Plan Risk Responses process.

Risk Owners & Responsibilities

(Assigning human accountability)

Specific Action Steps

(Cost and schedule activities required)

Defense Mechanisms

(Documented Contingency and Fallback plans)

Agreed-Upon Strategies

(Avoid, Mitigate, Share, etc.)

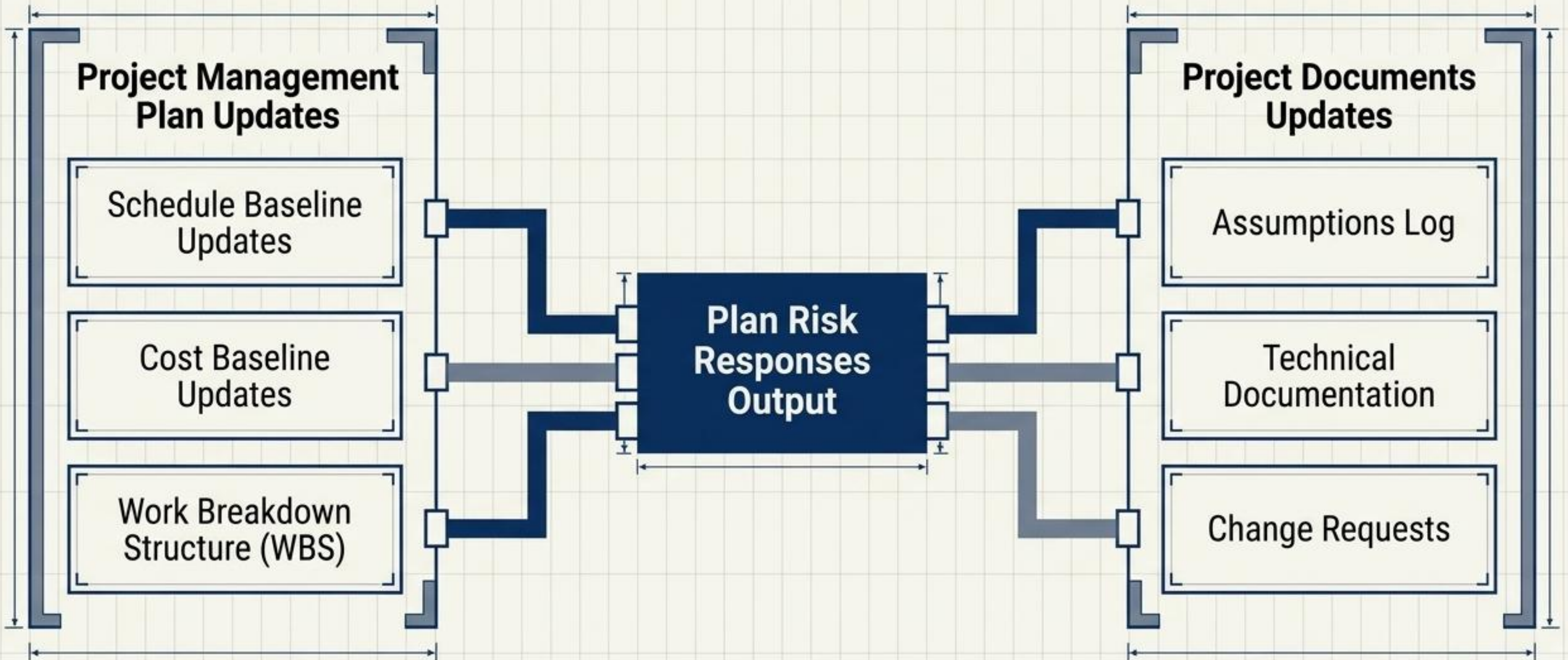
The Ripple Effect

(Logged Secondary and Residual risks)

ID	Risk Description	Owner	Response Strategy	Action Plan	Contingency Plan	Secondary Risks	Residual Risks

Integrating with the Master Plan

Risk planning updates the entire project ecosystem.



“Risks that are easily identified and have planned responses aren’t likely to kill projects. Risks that you should have known about but ignored could end up costing millions, or ultimately killing the project.”

Not knowing is devastating. Professional project management requires scaling risk management to the complexity of the build. Prepare for the unknown.